

August 21, 2026 09:02 AM GMT

NetEase, Inc | Asia Pacific

Risk Reward Update

WHAT'S CHANGED

NetEase, Inc (NTES.O)	From	To
Price Target	US\$158.00	US\$163.00
Bull Case	US\$191.00	US\$195.00
Base Case	US\$158.00	US\$163.00
Bear Case	US\$106.00	US\$110.00
Updated Components		
EPS		
Bull Base Bear Scenarios		

Risk Reward for NetEase, Inc (NTES.O) has been updated

Reason for change

We raise 2026E revenue by 2.2% incorporating the game revenue beat and tweak 2027/28E numbers by 0.6%/-0.6%. Our non-GAAP operating profit estimates increase 9.6%/5.3%/1.8% in 2026-28E with higher GPM and opex control. We factor in the investment loss in 2Q26 and, as a result, our diluted EPS estimates are revised by -2.1%/0.6%/-2.3% in 2026-28E.

Our PT increases 3% to US\$163, primarily driven by an increase in core game profit.

Our new bull and bear case values are US\$195 and US\$110, respectively.

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NetEase, Inc (NTES.O, NTES US)

China Internet and Other Services | China

Stock Rating	Overweight			
Industry View	Attractive			
Price target	US\$163.00			
Shr price, close (Aug 20, 2026)	US\$119.81			
52-Week Range	US\$159.55-106.06			

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	58.02	62.31	71.26	75.37
Prior EPS (Rmb)**	-	63.62	70.81	77.14

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

e = Morgan Stanley Research estimates

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Risk Reward – NetEase, Inc (NTES.O)

Growth turning around with better margin outlook; OW

PRICE TARGET US\$163.00

Base case, sum of the parts.

- Games - 15x 2026e P/E compared to US/EU publishers at 15-30x. Reflects slower growth and limited overseas exposure.
- Music - Latest market cap adjusted for NetEase's stake of 61.35%.
- Youdao - Latest market cap adjusted for NetEase's stake of 53%.
- Net cash at 30% discount
- USD/CNY assumption of 6.75.

Consensus Price Target Distribution

US\$132.41 US\$160.76 US\$197.82

Source: Refinitiv, Morgan Stanley Research

MS PT
◆ Mean ◆ Morgan Stanley Estimates

OVERWEIGHT THESIS

- NetEase has been gaining market share via its best-in-class development capabilities. It is expanding globally via self-established studios, partnering with industry veterans.
- Strong FWJ free server and Where Winds Meet international grossings should help offset a high grossings base in the next two quarters despite limited new title releases.
- We stay OW on NTES with solid revenue from evergreen titles and potential upside coming from new releases.

Consensus Rating Distribution

- 89% Overweight
- 11% Equal-weight
- 0% Underweight

MS Rating

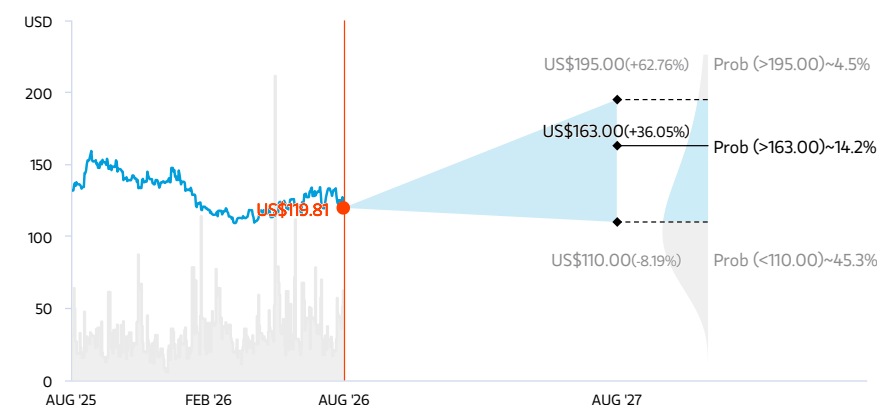
Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Disruption: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)



Key: — Historical Stock Performance ● Current Stock Price ◆ Price Target

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 20 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

BULL CASE

US\$195.00

18x 2026e bull case game P/E

Stronger-than-expected growth driven by diversification and global expansion: We assume a game revenue CAGR of 12% over 2024-26. Non-GAAP operating margin is 0.8ppt above our base case in 2026.

BASE CASE

US\$163.00

15x 2026e base case game P/E

Sustained growth in gaming revenue: Game revenue CAGR of 10% over 2024-26. Non-GAAP operating margin of 40.5% in 2026.

BEAR CASE

US\$110.00

10x 2026e bear case game P/E

Gaming revenue growth is capped by competition while loss-making businesses erode margins: Game revenue CAGR of 8% over 2024-26. Non-GAAP operating margin 3.8ppt below our base case in 2026.

Risk Reward – NetEase, Inc (NTES.O)

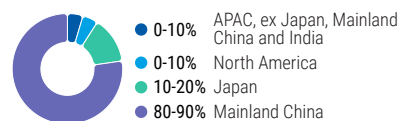
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Mobile game revenue (Rmb, mn)	56,228	55,665	59,562	63,314
PC game revenue (Rmb, mn)	33,549	42,192	43,188	44,489
Innovative business and others (Rmb, mn)	9,180	8,835	8,539	8,284

INVESTMENT DRIVERS

- Diversification and global expansion
- Game revenue growth
- Margin expansion

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Better-than-expected performance of existing and/or new game titles
- Faster-than-expected overseas expansion

RISKS TO DOWNSIDE

- Shorter-than-expected life cycle of games
- Weaker-than-expected margin, with a drag from loss-making businesses

OWNERSHIP POSITIONING

Inst. Owners, % Active	84.1%	
HF Sector Long/Short Ratio	2.4x	
HF Sector Net Exposure	11.4%	

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

Sales / Revenue (Rmb, mn)	114,737.8	121,208.4 121,021.6	123,902.1
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EBIT (Rmb, mn)	42,054.0	46,411 43,911.5	48,299.0
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Net income (Rmb, mn)	38,305.1	39,919 41,575.2	44,120.3
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EPS (Rmb)	59.7	62.3 64.7	68.4
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◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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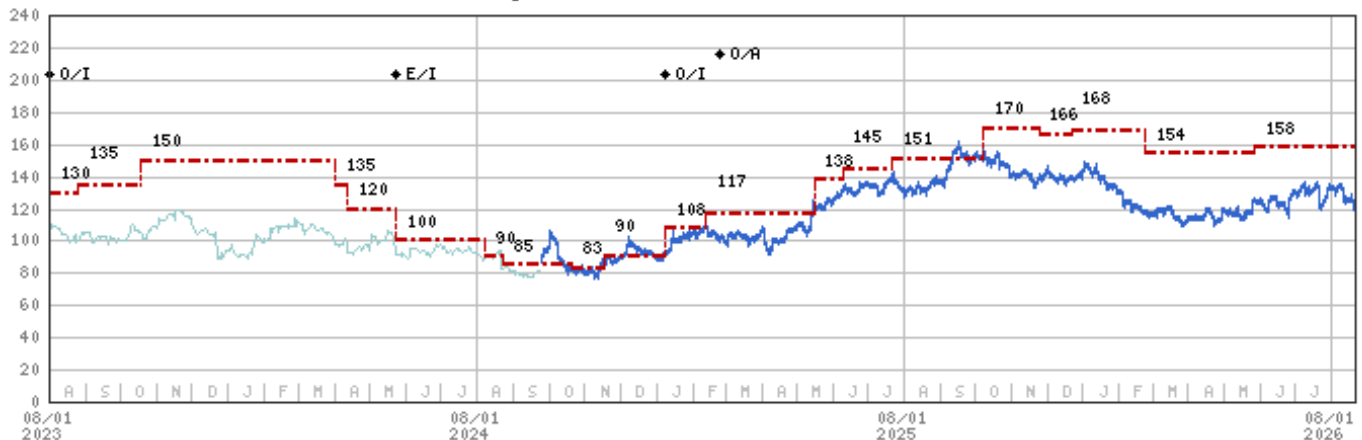
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Stock Price, Price Target and Rating History (See Rating Definitions)

NetEase, Inc (NTES.O) - As of 08/21/26 GMT in USD Industry : China Internet and Other Services



Stock Rating History: 8/1/21 : 0/A; 9/20/21 : 0/I; 5/23/24 : E/I; 1/8/25 : 0/I; 2/24/25 : 0/A

Price Target History: 2/26/21 : 150; 9/1/21 : 130; 9/20/21 : 120; 11/1/21 : 140; 3/21/22 : 130; 7/14/22 : 125; 8/15/22 : 110; 10/18/22 : 95; 11/8/22 : 85; 12/14/22 : 95; 1/16/23 : 105; 1/17/23 : 107; 4/18/23 : 115; 5/26/23 : 120; 7/17/23 : 130; 8/25/23 : 135; 10/18/23 : 150; 4/2/24 : 135; 4/12/24 : 120; 5/23/24 : 100; 8/8/24 : 90; 8/23/24 : 85; 10/21/24 : 83; 11/18/24 : 90; 1/8/25 : 108; 2/12/25 : 117; 5/16/25 : 138; 6/9/25 : 145; 7/22/25 : 151; 10/8/25 : 170; 11/24/25 : 166; 12/22/25 : 166; 2/23/26 : 154; 5/27/26 : 158

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
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INDUSTRY COVERAGE: China Internet and Other Services

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/20/2026)
Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$22.12
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.62
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$29.41
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$15.78
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$16.99
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$89.52
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$14.30
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$130.53
Baidu Inc (BIDU.O)	U (08/19/2026)	US\$91.97
Meituan (3690.HK)	O (08/29/2024)	HK\$85.00
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$457.00
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$2.17
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.03
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$73.77
Weibo Corp (WB.O)	U (05/17/2024)	US\$7.19
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$16.66
Kuaishou Technology (1024.HK)	E (08/20/2026)	HK\$34.42
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$119.81
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$13.35
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$46.43

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* Historical prices are not split adjusted.

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